



## Embracing the Dragon: Why Cambodia's Future Depends on a New Perception of Chinese Goods

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## **Introduction**

The global economic landscape of the 21st century is undergoing a radical structural transformation, transitioning from rigid, centralized production models toward a fluid and integrated system of production and consumption. For Cambodia, successfully navigating this era requires more than diplomatic alignment; it demands a fundamental shift in how the nation perceives and utilizes Chinese industrial innovation. By moving beyond the obsolete view of Chinese products as "secondary" or merely low-end commodities, Cambodia can leverage its ironclad friendship to transition from a subsistence-based agricultural economy into a high-value participant in the global supply chain (Chen et al., 2025; Tung, 2025).

## **The Prosumer Revolution and the Shift toward Flexible Production**

The traditional demarcation between producer and consumer is rapidly dissolving, giving rise to the "prosumer," a hybrid entity that both consumes and actively participates in the production process (Ertz et al., 2025). This evolution marks a shift from centralized mass production toward personalized and decentralized methods (Ertz et al., 2025). In this contemporary environment, consumers are no longer passive recipients; they are active creators who generate value through direct engagement in product design and modification (Ertz et al., 2025).

The modern automobile industry illustrates this consumer behavior change. While "Fordism" once dictated that identical vehicles be produced in massive, uniform batches, today's market demands mass customization (Ertz et al., 2025; Zhang, 2006). Currently, two individuals can purchase the same vehicle model, yet each unit is uniquely tailored with personalized colors, interior accessories, and digital features to fit a specific lifestyle (Ertz et al., 2025). This requirement for flexibility and speed necessitates a "world factory" that is globally integrated. China has uniquely fulfilled this role by transitioning into a dynamic exporting machine capable of satisfying these personalized market demands through sophisticated industrial clusters and "Wintelism," a model that emphasizes standardized components and the rapid release of new product series (Zhang, 2006).

## **China as the Indispensable Global workshop and High-Tech Engine**

China's significance to the global economy is an inescapable reality rooted in its status as the world's indispensable workshop. Globally, China is a dominant force, producing 70% of the world's toys, 60% of its bicycles, and 50% of its shoes (Zhang, 2006). However, the perception that Chinese products are merely "low-end" is increasingly disconnected from reality. China has rapidly ascended the "technology ladder," now manufacturing half of the world's microwave ovens and one-third of its air conditioners and television sets (Zhang, 2006). China's trade structure has shifted significantly from primary goods to capital-intensive manufacturing products, such as machinery and electronic equipment, which now dominate its exports (Zhang, 2006).

The automobile and energy sectors provide the most striking examples of this high-tech evolution. China's motor vehicle fleet is projected to reach 350 million units by 2030, and the nation has pivoted aggressively toward a sustainable, fossil-fuel-free future (Qu et al., 2020). China has cemented its prowess in the Electric Vehicle (EV) supply chain, constructing 148 of the world's 200 lithium-ion battery gigafactories as of 2021 (Scheyder, 2024). Furthermore, China now controls the mining and processing of critical minerals used for specialized magnets that translate battery power into motion, a technology mastered by Chinese industry (Scheyder, 2024). This makes China not just a supplier, but the primary engine for global technological and sustainable transitions.

Beyond ground transportation, China is pioneering the "low-altitude economy," a strategic emerging industry involving aerial activities in airspace typically below 1,000 meters conducted by drones and electric vertical take-off and landing (eVTOL) aircraft (Kong, 2026; Liu, 2025). Formally recognized as a "new quality productive force" in national planning recommendations, this sector is projected to reach a market size of 1.5 trillion yuan by 2025 and potentially 3.5 trillion yuan by 2035 (Kong, 2026; Wang & Gan, 2025). Chinese innovation in this field deeply integrates next-generation information technologies, including 5G communications, BeiDou navigation, and artificial intelligence, with advanced manufacturing to create a technology-driven service ecosystem (Liu, 2025; Wang & Gan, 2025). These advancements are already delivering practical benefits, such as hydrogen fuel cells for drones that achieve endurance times of 7.8 hours (nearly four times longer than traditional batteries) and the deployment of over 166,700 unmanned aerial vehicles for agricultural protection that operate 20 times faster than manual methods (Kong, 2026; Liu, 2025). The sector is poised to lead a global transformation in logistics and urban mobility, with data indicating that drone-based logistics can reduce delivery costs by 60% compared to traditional land transport (Liu, 2025).

For Cambodia, this relationship is the foundational pillar of economic survival and national development. China is currently Cambodia's largest trading partner and primary investor (Tung, 2025). Between 2004 and 2023, China accounted for the largest share of Cambodia's agricultural export value at over 35% (Chen et al., 2025). Under the Belt and Road Initiative (BRI), China has funded critical infrastructure projects such as the Phnom Penh-Sihanoukville Expressway and the ambitious US\$1.1 billion Funan Techo Canal, which aims to reduce reliance on foreign ports and facilitate the seamless flow of trade (Manet, 2025; Tung, 2025).

## **Strategic Preparation for an Integrated Future**

To fully leverage this partnership, Cambodia must move beyond treating Chinese goods as "secondary" and prepare to actively embrace the opportunities inherent in this strategic alignment. Cambodia currently suffers from limited processing capacity; approximately 90% of raw agricultural materials are exported without local value-added processing (Chen et al., 2025). To enhance international competitiveness, the Royal Government of Cambodia (RGC) should promote investment in the agricultural processing industry (Chen et al., 2025). This involves

utilizing Chinese technology and precision instruments as catalysts for local innovation, allowing Cambodia to process its own crops within its borders and retain more wealth (Chen et al., 2025).

Furthermore, Cambodian businesses must stop viewing Chinese products as mere competition and start seeing them as high-quality inputs for their own "prosumer" activities. By strategically integrating Chinese digital technology and production models, local firms can innovate more efficiently (Zhang, 2006). Making full use of the Cambodia-China Free Trade Agreement (CCFTA) and the RCEP will allow Cambodia to integrate more deeply into China-led supply chains, particularly through the developed "Industrial and Technology" and "Fish and Rice" corridors (Manet, 2025; Tung, 2025).

## **Conclusion and Recommendations**

The path to Cambodia's 2050 goal of high-income status requires a strategic perception shift: recognizing that Chinese innovation, from advanced electronics to EV battery technology, is the engine that can drive national development (Chen et al., 2025, p. 4; Tung, 2025, p. 13). Instead of skepticism, Cambodia should adopt a proactive stance that treats this partnership as a springboard for industrialization.

### **Recommendations for future policy include:**

- **Agro-Processing Investment:** Transition from the export of raw materials to using Chinese technological innovation for domestic processing to increase "value-added" advantages (Chen et al., 2025).
- **Green Tech Integration:** Position Cambodia within the global EV supply chain by using Chinese expertise in battery technology to modernize the local transport sector (Scheyder, 2024; Zhang, 2006).
- **Trade Agreement Maximization:** Fully utilize the CCFTA and RCEP to diversify export destinations and strengthen bilateral agricultural modernization (Chen et al., 2025; Manet, 2025).
- **Promote "Prosumer" Thinking:** Encourage local entrepreneurs to utilize Chinese high-tech components as building blocks for Cambodian-branded finished products (Zhang, 2006).

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